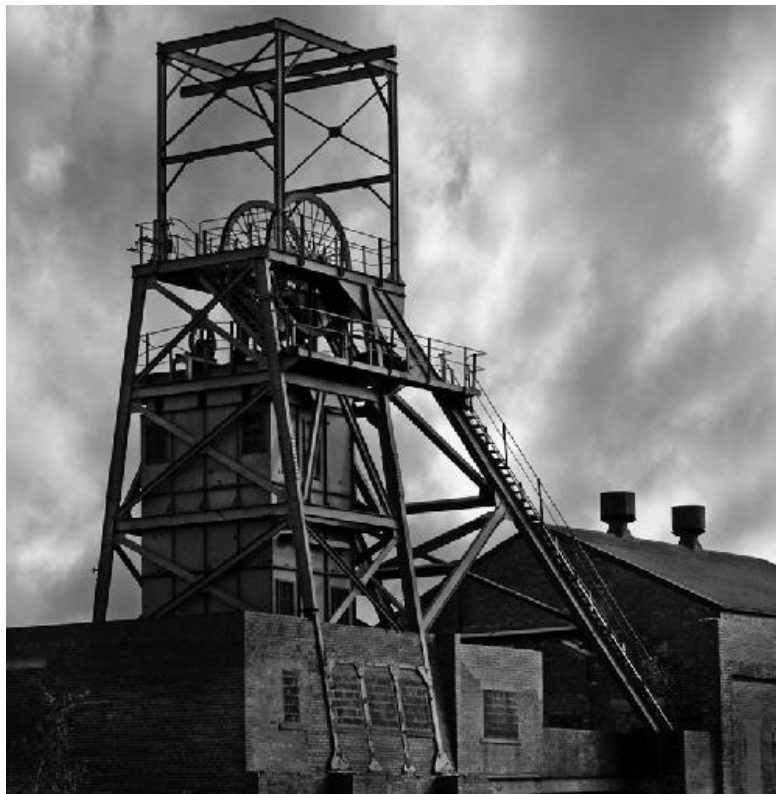


Frictional and structural unemployment



Unemployment can persist when old industries close down, leaving workforces unsuited to new jobs.

Unemployment has multiple causes. When economies go into recession large numbers of workers lose their jobs, but unemployment exists in healthy economies too, in a form called frictional unemployment that results from people switching jobs and careers. Because the labour market doesn't immediately match workers to jobs, it is said to have 'frictions'.

Economies are in a constant state of flux. Firms invent new products and stop selling others: when compact disks went on sale, tape cassettes rapidly became obsolete. Workers making cassettes were laid off, but in a growing economy they would be able to find new jobs in other sectors – perhaps working for compact disc manufacturers. However, the workers would still

need some time to search for and secure new employment. The shift can sometimes take time, with workers in regions dominated by declining sectors often struggling to find new employment opportunities. Economists call this kind of more persistent unemployment structural unemployment.